EBBAA
DCEDA
EDDDD
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6.5 inequality

1. The higher wages college graduates receive are primarily due to

(A) discrimination
(B) differences in working conditions
(C) on-the-job training
(D) differences in bargaining power
(E) differences in human capital ✓

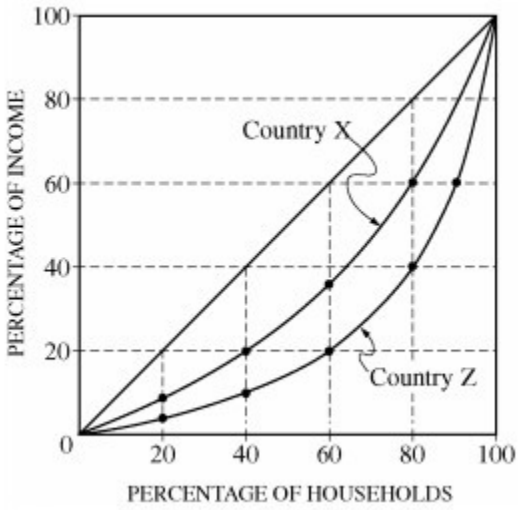
Answer E

Correct. College education represents an investment in human capital that leads to higher wages.

2. A governmental welfare program that taxes the labor income of the wealthy and redistributes the tax revenue to low-income citizens will

(A) increase income inequality and efficiency
(B) decrease income inequality and efficiency ✓
(C) increase income inequality and decrease efficiency
(D) decrease income inequality and increase efficiency
(E) decrease income inequality and not affect efficiency

3.



Based on the information in the Lorenz curve above, which of the following is true?

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(A) People in Country X make more money than people in Country Z.

(B) Income is more equally distributed in Country X than in Country Z. ✓

(C) The top 20 percent of households in Country X received 60 percent of the total income.

(D) The top 20 percent of households in Country Z received 40 percent of the total income.

(E) The average income in Country X is higher than the average income in Country Z.

4. All of the following are sources of inequality in the distribution of personal income EXCEPT

(A) progressive income taxes ✓

(B) discrimination in employment

(C) differences in personal motivation

(D) differences in educational level attained

(E) differences in abilities

5. A Lorenz curve can be used by economists to do which of the following?

(A) Show the distribution of personal income ✓

(B) Show the amount of wealth in a nation

(C) Show the amount of consumption in a nation

(D) Explain why different households have different incomes

(E) Explain why income is equally distributed in socialist countries

6. A Lorenz curve can be used to evaluate which of the following economic issues?

(A) The allocative and technical efficiency of markets

(B) The comparative advantage of trading partners and the terms of trade

(C) The degree of specialization and growth within countries

(D) The degree of equity in income distribution ✓

(E) The equilibrium of market prices and quantities throughout the world

7. A society that wishes to achieve greater income equality is most likely to have which of the following?

(A) A regressive income tax system and high estate and gift taxes

(B) A regressive income tax system and low estate and gift taxes

(C) A progressive income tax system and high estate and gift taxes ✓

(D) A progressive income tax system and low estate and gift taxes

(E) A proportional income tax system and high estate and gift taxes

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8.

PERCENTAGE OF INCOME RECEIVED, 2010

Quintile	Before Taxes and Transfers	After Taxes and Transfers
Lowest 20 percent	1.1	5.1
Second 20 percent	7.9	11.1
Third 20 percent	15.5	16.5
Fourth 20 percent	24.7	23.8
Highest 20 percent	50.7	43.5

The table above shows the distribution of income in Country X in 2010 before and after taxes and transfer payments. Which of the following can be concluded about the effect of the government's tax and transfer policies on income distribution in Country X?

(A) The distribution of income is significantly less equal after accounting for the impact of government policies.

(B) The distribution of income is about the same after accounting for the impact of government policies.

(C) The largest gainers from government policies are the third and fourth quintile groups.

(D) The only quintile to benefit from government policies is the lowest quintile.

(E) The major transfer of income is from the highest quintile to the two lowest quintiles. ✓

9. Country A has a Gini coefficient of 0.5, and Country B has a Gini coefficient of 0.3. Which of the following statements is definitely true?

(A) Country A has higher average income than Country B.

(B) Country B has higher average income than Country A.

(C) Income is more evenly distributed in Country A than in Country B.

(D) Income is more evenly distributed in Country B than in Country A. ✓

(E) Country A has more deadweight loss than Country B.

10. The Lorenz curve represents the relationship between

(A) the cumulative percentage of households and the cumulative percentage of income ✓

(B) income tax rates and income tax revenues

(C) child labor rates and the poverty levels

(D) income inequality and education level

(E) market structure and the number of firms in the market

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Answer A

Correct. The Lorenz curve approach typically divides the population into 5 equal-size groups based on income from the lowest to the highest and computes the income share of each 20 percent of the population each year on a cumulative basis. Thus, the Lorenz curve provides an explicit measure of the percentage of income received by different percentages of the population.

11. In a perfectly competitive free market economy, a wage gap between two workers can be explained by differences in all of the following EXCEPT their

(A) years of schooling
(B) occupations
(C) marginal products
(D) marginal revenue products
(E) tastes for luxury goods ✓

12. Which of the following actions is most likely to reduce the degree of income inequality within a society?

(A) Lowering the tax rate on income from savings
(B) Increasing regulations on labor unions
(C) Increasing the cost to households of primary and secondary education
(D) Introducing progressive inheritance taxes on accumulated wealth ✓
(E) Eliminating taxes on corporate profits

Answer D

Correct. This tax would be paid by high-wealth and high-income individuals. Progressive inheritance taxes will lead to high-wealth individuals paying more in taxes, thus reducing the degree of inequality within a society.

13. Assume accountants and teachers have identical marginal revenue product schedules. Which of the following provides an explanation for why accountants receive higher starting salaries than school teachers?

(A) Accountants have less human capital than school teachers.
(B) Accountants have lower opportunity cost than school teachers.
(C) Accounting firms provide a more pleasant work environment than schools provide.
(D) The supply of accountants is low relative to the supply of teachers. ✓
(E) Fewer teaching majors graduate from college each year than accounting majors.

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Answer D

Correct. If the supply of accountants is low relative to the supply of teachers, accountants will receive higher starting salaries than school teachers.

In a given year, Jennifer earns $50,000 and spends $40,000. During the same period, Steve earns $30,000 and spends $27,000.

14. If Jennifer and Steve both must pay a 10 percent sales tax on goods purchased, the sales tax is

(A) a higher percentage of income for Jennifer than for Steve
(B) a higher percentage of spending for Steve than for Jennifer
(C) progressive with respect to income
(D) regressive with respect to income ✓
(E) proportional with respect to income

15. Which of the following statements about income inequality is true?

(A) A low average household income in a society suggests significant income inequality.
(B) A society with progressive income taxes will likely have a very unequal after-tax distribution of income.
(C) Low taxes on savings tend to lead to a more equitable distribution of after-tax income.
(D) Raising taxes on savings and providing subsidies to low-income households will lead to more equal after-tax and transfer incomes. ✓
(E) Low tax rates on wealth will lead to less unequal income distributions.

Answer D

Correct. Low-income households spend a greater percentage of their income than high-income households. Therefore raising taxes on savings and using the tax money to subsidize low-income families would reduce income inequality.

16. A progressive income tax is characterized by

(A) a higher average tax rate at low income levels than at high income levels
(B) tax rates that increase total tax revenues
(C) marginal tax rates that do not change as income changes
(D) marginal tax rates that increase as income increases ✓
(E) marginal tax rates that decrease as income increases

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Answer D

Correct. A progressive income tax is by definition one in which marginal tax rates increase as income increases, and vice versa.

17. In the United States, the federal government redistributes income primarily by

(A) setting up planning commissions to set wage rates

(B) taxing different income levels at different rates ✓

(C) guaranteeing every person a minimum income through minimum-wage laws

(D) providing the same goods and services to all citizens

(E) relocating and retraining structurally unemployed people

18. Which of the following is most likely to reduce inequality in a country's distribution of income?

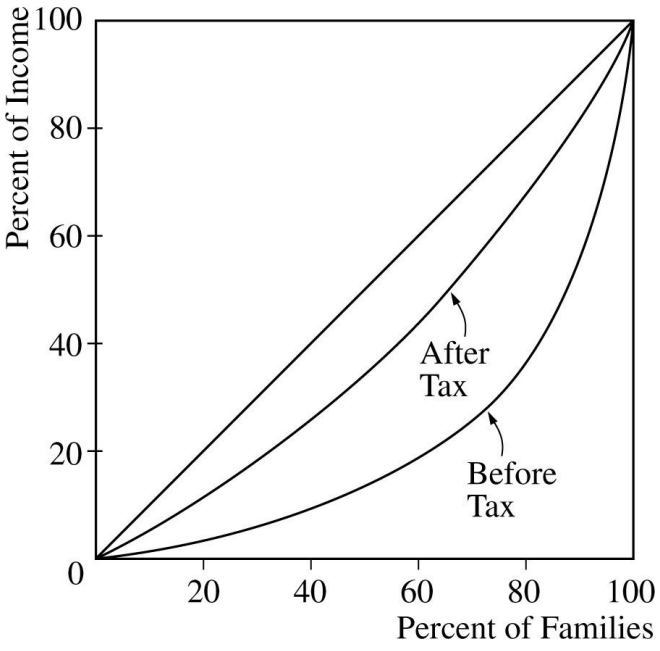
(A) An increase in the population growth rate

(B) Job training for low-skill workers ✓

(C) An increase in the trade deficit

(D) A decrease in funding for training unemployed workers

(E) A regressive tax rate



The Lorenz curves in the graph above show the effects of a tax system on income inequality.

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19. Which of the following statements must be true?

(A) Before the tax, 20% of families lived below the poverty level, and after the tax, none did.
(B) The tax redistributed income only from the top 20% of families to the lowest 20%.
(C) The tax system is proportional.
(D) The tax system is regressive.
(E) The tax system is progressive. ✓

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20. The Lorenz curve is used to study the

(A) relationship between output and unemployment
(B) relationship between income and consumption
(C) extent of income inequality within a society ✓
(D) incidence of an excise tax on buyers and sellers in a market
(E) impact of foreign trade on domestic production of goods

21. Which of the following will most likely lead to a more equal distribution of income?

(A) More regressive national sales tax
(B) More progressive income taxes ✓
(C) An increase in the high school dropout rate
(D) An increase in structural unemployment
(E) An increase in earnings for owners of capital

22. Which of the following is most likely to make a country's income distribution more equal?

(A) Establishing a national sales tax on food and clothing
(B) Establishing a progressive income tax system ✓
(C) Eliminating excise taxes on luxury goods
(D) Proportionally decreasing the tax rate for all income groups
(E) Reducing the subsidy to education

23. Which of the following taxes contributes most to decreasing inequality in the distribution of income?

(A) Progressive income taxes ✓
(B) Sales taxes
(C) Proportional income taxes
(D) Excise taxes
(E) Import tariffs on necessities

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24. Which of the following Gini coefficients indicates that a country has an equal distribution of income?

(A) 1
(B) 0.7
(C) 0.5
(D) 0.2
(E) 0 ✓

Answer E

Correct. The Gini coefficient ranges from a low of 0 to a high of 1. The higher the coefficient, the more unequal the distribution. Therefore, a value of 0 indicates the most equal distribution of income, and the Lorenz curve is the same as the diagonal line, that is, perfect equality of income distribution and each population percentile receives an equal percentage of the total income.

25. The closer income distribution moves toward complete equality, the closer the Lorenz curve moves to

(A) a horizontal line
(B) a vertical line
(C) a diagonal line ✓
(D) the vertical axis
(E) the horizontal axis

Answer C

Correct. The Lorenz curve is a graph on which the cumulative percentage of total national income is plotted against the cumulative percentage of the corresponding population. The closer the curve is to a straight diagonal line, the more equal the distribution of income.

26. The Lorenz curve is used to show which of the following?

(A) The total income generated from all activities
(B) The degree of inequality in the distribution of income within a country ✓
(C) The progressivity of the income-tax structure within a country
(D) The extent of wage differences among workers in similar occupations
(E) The change in the poverty rate within a country over time

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Answer B

Correct. The Lorenz curve approach typically divides the population into 5 equal-size groups based on income from the lowest to the highest and computes the income share of each 20 percent of the population each year on a cumulative basis. Thus, the Lorenz curve provides an explicit measure of the percentage of income held by different percentages of the population. It is the most direct measure of the statistical degree of income inequality within a society.

27. Income inequality is measured by what economic concept?

(A) Market failure
(B) Unemployment
(C) Production function
(D) Gini coefficient ✓
(E) Deadweight loss

Answer D

Correct. The Gini coefficient is used to represent the degree of income inequality in the income distribution of a nation.

28. A Lorenz curve can be used to

(A) show the historical pattern of production
(B) forecast production costs
(C) show inequality in the income distribution ✓
(D) show economies and diseconomies of scale
(E) show the shape of the long-run supply curve

Answer C

Correct. The Lorenz curve is a graph on which the cumulative percentage of total national income is plotted against the cumulative percentage of the corresponding population and shows inequality in income distribution.

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29. Discrimination in the workplace is one source of which of the following?

(A) Income and wealth inequality ✓

(B) Productive efficiency

(C) Regressive income tax systems

(D) Formation of monopolies

(E) Scarcity of resources

Answer A

Correct. Discrimination in the workplace is one source of income and wealth inequality.